AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACT112

Managerial Accounting

Mid-term Examination – Version B
Fall Semester 2025-2026

17-November-2025

Number of Pages: 3 (including this cover sheet)	Time Allowed: 90 minutes

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinat
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (50 marks)

A- Explain what is meant by fixed costs, variable costs, and mixed costs. Provide one example of each type of cost. (10 marks)

B- In your answer sheet, classify each of the following costs as either product costs or period costs. Also, indicate whether the cost is fixed or variable with respect to the number of units produced and sold.

(10 marks)

No.	*Item*	*Product cost*	*Period cost*	*Fixed Cost*	*Variable Cost*
1	Commissions paid to automobile salespersons				
2	Leather used in producing shoes				
3	Salaries paid to factory workers				
4	Travel expense of an executive manager				
5	Insurance on a factory for automobile production				

C- The following data from the end of last year are taken from the accounting records of Finland Company:

Sales		$60,000
Direct labor cost		8,000
Raw material purchases		12,000
Selling expenses		17,500
Administrative expenses		13,500
Manufacturing Overhead		3,500
Inventories	Beginning	Ending
Raw materials	800	1,700
Work in process	1,000	600
Finished goods	2,500	4,500

Required:

1. Prepare a schedule for the cost of goods manufactured.
2. Prepare the income statement. (30 marks)

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Question 2 (50 marks)

A- Retro Company gathered the following information for the last six months:

Month	Electricity Cost	Machine Hours
January	$24,400	13,900
February	28,400	20,600
March	27,000	19,800
April	20,340	13,200
May	18,400	12,600
June	13,050	17,100

Required:

Using the high-low method:

1. Calculate the estimated variable portion of electricity costs per machine hour.
2. Calculate the estimated fixed electricity cost each month.
3. If it is estimated that 5,000 machine hours will be run in July, what is the expected total electricity cost for July?

(15 marks)

B- Jensen Company sells its only product for $220 per unit. Its total fixed costs are $55,000 per annum and the variable costs are 75% of the unit selling price. The total units produced and sold during the year are 1,800 units.

Required

1. Calculate Jensen's breakeven point in units and dollars. Prove your answer.
2. Calculate the profit earned by the company at the current level of operations (as given)
3. Compute the selling price per unit if BEP (units) is 10,000 units and the fixed costs are $7,000,000 and the variable cost per unit is $600.
4. Calculate the margin of safety in dollars.

(35 marks)

[END OF EXAM]

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